

Profit Niti AI CFO Report

1 Executive Overview — Business Health Assessment

High-level performance summary and key indicators

Performance Summary

The business is operationally profitable with a strong net profit of ₹79.8M on sales of ₹1.03B, achieving a healthy net profit margin of 7.72%. However, this profitability is masking a critical cash flow crisis, with operating activities consuming over ₹1.02B in cash, leading to heavy reliance on external financing. The balance sheet shows high leverage with total debt of ₹518M against equity of ₹197M, and working capital is severely strained due to significant investments in inventory and receivables.



Strengths & Positives

- **Strong Profitability:** Net profit margin of 7.72% and a high Return on Equity of 485.13%.
- **Healthy Gross Margin:** Gross margin of 8.88% indicates decent core operational efficiency.
- **Good Interest Coverage:** Interest cover of 11.89x shows profits comfortably cover interest expenses.



Areas for Improvement

- **Severe Cash Burn:** Operating cash flow is negative ₹1.03B, creating a funding gap.
- **Inefficient Working Capital:** High inventory (18.3 days) and receivable (14.8 days) cycles vs. very low payable days (1.25).
- **High Leverage:** Debt-to-Equity of 2.63 indicates significant reliance on borrowed funds.



CFO Recommendation

Priority Action

Immediately launch a working capital optimization program to reduce the cash conversion cycle. Prioritize negotiating extended payment terms with suppliers and implementing stricter controls on inventory and receivables to stem the negative operating cash flow, which is the single biggest threat to business continuity.